MINUTES

THE CENTRAL BANK OF ARMENIA BOARD MEETING (13.06.2023)

On the refinancing rate

The Central Bank Board Meeting of June 13, 2023 attended by Governor Martin Galstyan, Deputy Governor Hovhannes Khachatryan, and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of June 13, 2023. It addressed the developments on inflation, external environment, and real, fiscal, financial, and monetary sectors of the economy.

Current developments in the external sector were presented. In the second quarter of 2023, it was recorded, the economic growth rates in the world and partner countries to Armenia carry on slow. At the same time, aggregate demand in the USA and the EU countries – among Armenia's main partners – continues to weaken as a result of contractionary monetary policy and tighter financial conditions, while in Russia it is recovering at a faster-than-expected pace, mainly because of a considerably stimulative fiscal policy implementation. The Board corroborated that in expectation of slowing of the global economic growth rate, on the one hand, and the contractionary monetary policy currently pursued, on the other, all partner countries see their inflation environment softening notably, which also points to certain deflationary pressures in international commodity markets. However, with persistently strong demand and inflationary pressures deriving from the labor market, prices of goods and services that stand out with "sticky" prices still remain high. In this situation, the central banks of the main partner countries to Armenia will continue to conduct contractionary monetary policies in the near future. It is estimated that the continued weakening of demand amid tight financial conditions will contribute to lower prices in commodity markets, as a result of which the inflationary impact of the global economy on the Armenian economy will keep on weakening significantly.

The Board of the Central Bank discussed the developments in the Armenian economy; in the second quarter of 2023, it was recorded, higher-than-expected economic activity was observable primarily owing to reported high growth in services and construction sectors. Positive factors came on the scene of the growth of economic potential mainly driven by positive changes seen in the labor market and the increased productivity. It was stated that, fueled by the effect of a sustained high external demand and regularly growing income in the economy, the aggregate demand remains strong and continues to be substantially backed by a large inflow of tourists. In the light the above trends, the 2023 economic growth is an estimated 6.9%, which is higher than the previous indicator.

Armenia's financial market developments were addressed; it was noted that although the banking system's demand for providing liquidity through the main Central Bank instrument continued to decrease in the second quarter of 2023, short-term market rates shaped primarily around the policy rate. During the quarter, the sustained high rates of capital influx and tourism growth were also reflected in continued appreciation of the dram in the currency market.

Touching upon the inflation developments, the Board noted that a 1.8% deflation was registered in May 2023, totally driven by a 3.5% fall in prices of food products. The prices of non-food products dropped by 0.9%, whereas service tariffs rose by 0.2% during the month. **As a result, the 12-month inflation continued to decline rapidly to 1.3% at the end of the month. The 12-month core inflation also reduced considerably to 3.1%.** Also, the Board admitted that the overall inflationary environment in Armenia continued easing owing to notably weakened inflationary pressures from the external sector, a contractionary monetary policy implemented by the Central Bank, and the dram appreciation, while also stating that price inflation of services and some goods adjusts more slowly amid high demand and inflation expectations.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board proceeded to addressing the macroeconomic scenarios and monetary policy directions, and to making decision on the policy interest rate. The Forecasting Team, in view of the aforementioned macroeconomic situation, apprised the Board of the scenarios describing the monetary risks that would possibly derive from upcoming economic development outlooks. The members of the Board all agreed that the risks to deanchoring of inflation expectations had been largely offset in an inflationary environment softened in light of weaker inflationary effects transmitted to the domestic economy from the external sector, and the implemented monetary policy. Some members were of the opinion that even though the 12-month inflation would possibly subdue a little in the near future, inflation of a number of goods and services with “sticky” prices was still declining slowly, while demand and inflation expectations persisted high. Moreover, uncertainty over a further path of inflation has grown as inflation declined rapidly. Therefore, even with the 12-month inflation slowing in the short term, future inflation risks were still not fully neutralized, and a more conservative behavior toward changing monetary conditions would need to be demonstrated. In the upcoming period, part of the members of the Board reckoned, inflation expectations might be diminishing commensurate with an inflation environment having eased amid deflationary effects transmitted from the external sector, while the relatively contractionary fiscal and monetary policies would together contribute to the slowing of economic demand, creating risks of maintaining low inflation. Therefore, they further reckoned, loosening monetary conditions in a relatively big step would be more appropriate in terms of managing the risks to deflation and economic slowdown. As a result, the **Board of the Central Bank of Armenia made a decision in a majority of voices to reduce the refinancing rate by 0.25 percentage point**. The Board also endorsed its commitment in taking adequate measures to regulate demand and stabilize inflation expectations. As outlined by the monetary policy scenario, that the 12-month inflation will remain below the target in the near future, then will gradually increase and stabilize around the 4% target in the medium term.

The Board also estimated that the risks of inflation deviating from the projection path are mostly balanced. In the case of risks materializing in any direction, the Board will adequately react and ensure the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank of Armenia and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON THE SETTING OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA AND THE PRESS RELEASE ON THE REFINANCING RATE

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia ***enacts:***

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 10.5%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 12.0%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 9.0%:
4. Approve the Press Release on the Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan ***Governor of the Central Bank of Armenia***

June 13, 2023

PRESS RELEASE

13.06.2023

At the June 13, 2023 meeting, the Board of the Central Bank of Armenia decided to reduce the refinancing rate by 0.25 percentage point to 10.5%.

In May 2023, the 12-month inflation continued to decrease at a rapid pace; at the end of the month it was 1.3%. The 12-month core inflation also reduced significantly, reaching 3.1%.

In the second quarter of 2023, the rates of economic growth in the world and main partner countries of Armenia remain slow, and the 12-month inflation continues to decrease. However, in all partner countries sticky price inflation of goods and services remains high amid sustained inflationary pressures coming from labor markets. Therefore, the central banks of partner countries will further conduct a contractionary monetary policy in the near term. Continued weakening of demand in the wake of tight financial conditions is contributing to lower prices in commodity markets. As a result, the inflationary effects of the global economy on Armenia's economy keep on weakening considerably.

A higher than expected economic activity is observable in Armenia in the second quarter of 2023, which is mostly driven by strong growth reported in the construction and services sectors. Positive shifts seen in the labor market and the increase in productivity are also leading to a certain acceleration of the potential growth rate of the economy. On the other hand, sustained high external demand and increased income in the economy contribute positively to demand expansion. The inflation environment in Armenia continues to mitigate rapidly owing to the notably weakened inflationary impact from the external sector, the implemented contractionary monetary policy and the appreciation of the dram. However, price inflation of services and some goods is adjusting more slowly in the light of high demand and inflation expectations.

The Board of the Central Bank of Armenia finds it appropriate to reduce the policy rate. The Board will be consistent in taking action to handle demand and stabilize inflation expectations. According to the outlined monetary policy scenario, the 12-month inflation will remain below the target value in the near future and stabilize around the 4% target in the medium term.

The Board of the Central Bank of Armenia estimates that the risks of inflation deviating from the projected path are mostly balanced; in the event these risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

Press Service of the Central Bank of Armenia